ADVANCED FINANCIAL

IAS 21-THE EFFECTS OF CHANGES IN FOREIGN EXCHANGE RATES

Lesson Objectives

To explain the concept of functional and presentation currencies

To describe how to translate foreign currency transactions

To describe how to translate foreign currency financial statements to presentation currency

To apply the provisions of IAS 21 to prepare Conso-lidated Financial Statements

IAS 21 - Objective

how to incorporate foreign exchange transactions and operations into the financial statements (individual entity stage)

How to translate financial statements into a presentation currency (group/combined stage)

Relevant questions to answer:

1. what rates to apply and

2. how do you report the effects of changes in exchange rates?

IAS 21 - Scope

How to ***include foreign currency transactions and foreign operations*** in the financial statements of an entity; and

How to ***translate financial statements into a presentation currency***.

What are the exceptions ? Refer to the standard.

IAS 21 – Key Definitions

Functional Currency – currency of primary economic environment within which the entity operates (factors to consider).

Foreign Currency – currency other than the functional currency

Foreign Operation- a subsidiary, joint venture, associate or branch whose activities are based or conducted in a country or currency other than those of the reporting entity

IAS 21 – Key Definitions

Presentation Currency – currency in which the financial statements are presented (may be same as functional currency, but not always…note)

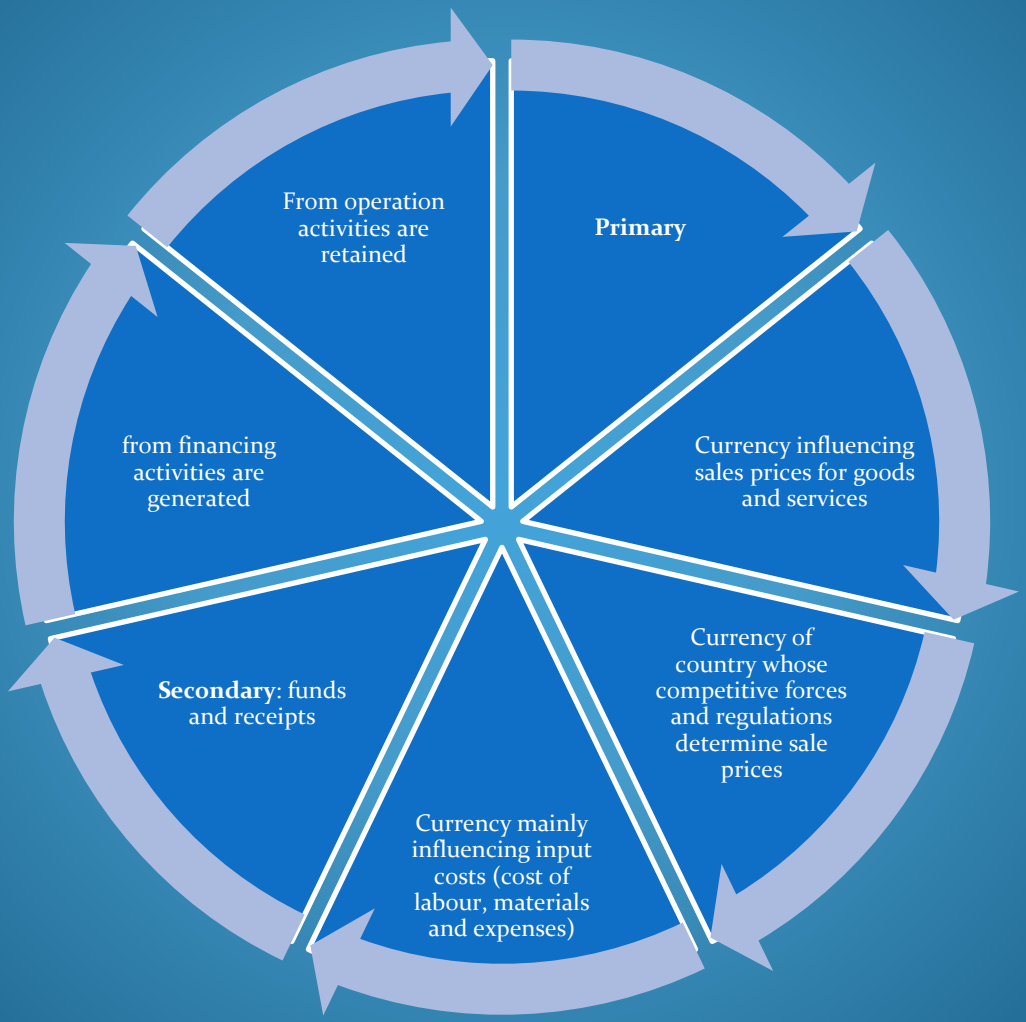
Exchange rate – ratio of exchange for two currencies

Closing -Spot exchange rate at the reporting date

Spot rate – exchange rate for immediate delivery

Monetary items-units of currency held and assets and liabilities to be received or settled in a fixed or determinable number of units of currency

Functional Currency Indicators



Functional Currency Indicators

- Level of autonomy from parent
- Proportion of transactions with parent entity

- Does it generate enough cash flows to maintain existing /normally expected debts
- Do cash flows directly affect the cash flows of the reporting entity
- Are the cash readily available for remittance

IAS 21-Initial Recognition

RECORD IN FUNCTIONAL CURRENCY BY APPLYING THE EXCHANGE RATE AT THE DATE OF THE TRANSACTION.

RECORD ON INITIAL RECOGNITION IN THE FUNCTIONAL CURRENCY, BY APPLYING TO THE FOREIGN CURRENCY AMOUNT THE SPOT EXCHANGE RATE BETWEEN THE FUNCTIONAL CURRENCY AND THE FOREIGN CURRENCY AT THE DATE OF THE TRANSACTION.

A RATE THAT APPROXIMATES THE ACTUAL RATE AT THE DATE OF THE TRANSACTION IS OFTEN USED, (AN AVERAGE RATE FOR A WEEK OR A MONTH MIGHT BE USED)

HOWEVER, IF EXCHANGE RATES FLUCTUATE SIGNIFICANTLY, THE USE OF THE AVERAGE RATE FOR A PERIOD IS INAPPROPRIATE.

IAS 21 – Subsequent Recognition

Monetary items – closing rate

Non-monetary at historical cost – exchange rate at date of transaction

Non-monetary at fair value-exchange rate at date of fair valuation.

Gains and losses on monetary items-profit or loss

When gains and losses on non-monetary assets are reported in OCI, related ex diff in OCI.

Consolidation Stage

- The method of translation from functional currency to presentation currency is dependent on the relationship between the foreign operation and its parent.
- The translation method must reflect the economic reality of the relationship.
- If the foreign operation carries on business as though it were an extension of the parent's operations, the functional currency is same as that of the parent.
- Movement in the exchange rate will have immediate impact on the reporting entity's cash flows from the foreign operations…the effect is on the individual monetary items and not the net investment in that operation. Translation rules will follow those of a single company.

Consolidation stage

- If the foreign operation is semi-autonomous, its functional currency is almost certainly different.
- The financial statements must be translated into the functional currency of the reporting entity before consolidation.
- Assets and liabilities- translated at the closing rate regardless of the date on which they were originated.
- Statement of comprehensive income-translated at the transaction rate…average rate may be applied.
- Exchange differences arising from retranslation-recognised in other comprehensive income.

Summary-Different Functional Currency

1. Translate Assets/Liabilities– closing rate
2. Stated Capital and pre-acquisition reserve-historic
3. Post-acquisition reserve is a balancing figure
4. Income statement-spot rate/average rate

Calculation of exchange difference

Opening Net Assets at opening at rate	(xx)
Opening Net Assets at closing rate	xx
Result for the year at average rate	(xx)
Result for the year at closing rate	xx
Total Exchange Gain/Loss	xxx/(xxx)

Goodwill and FV Adjustments

- Goodwill/FV adjustment are considered foreign assets/liabilities…re-translated at closing rate)
- Exchange differences are recognised in other comprehensive income and allocated to parent/NCI (depending on the method used to calculate goodwill)
- Goodwill-Proportionate - Parent only
- Goodwill –FV method-Parent and NCI
- FV Adjustments – Parent and NCI

- GROUP RETAINED EARNING
- Recognise parent share of post-acquisition profits/losses as before……
- Note: Share of reserve is recognised under Foreign Exchange Reserve in equity

GOODWILL

- Calculate Goodwill in functional currency and share if FV method is used
- Ascertain Exchange difference by reconciling GW at acquisition rate, closing rate and impairment if any at average rate.
- Share Exchange difference if goodwill is at FV method

NON-CONTROLLING INTEREST-NCI

- Translate NCI at acquisition rate
- Add share of post acquisition profit/loss and exchange differences if any

Step by Step Translation of SFP

NET ASSETS

- Ascertain Net Assets @ acquisition and @ reporting date and establish post acquisition profit/loss- Functional currency
- Translate post-acquisition profit @ average rate and share between parent and subsidiary
- Determine exchange difference by reconciling net asset at acquisition, post-acquisition profits/loss and net assets at reporting date.
- Share exchange diff to parent and NCI if FV method